third parties from routing their products through member countries to take advantage of low tariff and allowing only goods that are originated from parties to the agreement. Rule of origin is usually determined by two criteria namely, i) value addition or local content requirement and ii) change of tariff heading at four digit level.

Value addition requirements stipulate that the goods which are not fully originated from the partner countries should have a value addition in terms of raw material, labour cost etc, as agreed by the member countries, usually of 30 per cent.

Tariff heading represents the code assigned to various products under Harmonised Commodity Description and Coding System of World Customs Union which is called as Harmonised Coding System. The first four digits of the code are called Heading. The subsequent digits are called as subheading. Change of tariff heading means, a product that does not originate from a country should be codified in different heading when exported, i.e., a product should be converted into another product. For example, the code of live bovine animals is 0102. To be exported, it may be processed and converted as frozen meat of bovine animals, for which code is 0202.

Debt Service Ratio

The amount of a country's debt service (repayment of principal and interest) as a ratio of its total export earning is called Debt Service Ratio. It can be written in formulaic form as follows:

Debt service ratio = Debt service / Total export earning

NEER and REER

NEER stands for Nominal Effective Exchange Rate and REER stands for Real Effective Exchange Rate. Usually the exchange rate is determined for a domestic currency against a single foreign currency. The effective exchange rate (EER) is fixed against a basket of currencies. For NEER and REER the basket is SDR currencies.